APPRAISAL REPORT

Redwood Health Center | Charlotte, NC

Subject Property	Redwood Health Center
Address	253 Heritage Court, Charlotte, NC 98883
Property Rights Appraised	Fee Simple
Effective Date of Value	May 10, 2021
Market Value Conclusion	$29,870,000

Supply and Demand

Median household income within a 6-mile radius of the property is approximately $338,000 and has grown 2.1% annually. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 6.15% and 6.15%. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Redwood Health Center is located in Charlotte, NC, a market that has recorded 11.8% population growth over the last five years.

Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Medical Office product stands at 6.5%, down from 6.2% two years ago. Patient parking and ADA-compliant access are provided at a ratio of 35 spaces per 1,000 square feet.

Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 23 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 15.15 acres and is generally level with frontage along Heritage Court.

The site contains approximately 10.10 acres and is generally level with frontage along Heritage Court. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Market Overview

Market vacancy for comparable Medical Office product stands at 7.3%, down from 5.4% two years ago. Patient parking and ADA-compliant access are provided at a ratio of 44 spaces per 1,000 square feet. Median household income within a 8-mile radius of the property is approximately $84,000 and has grown 11.2% annually. Employment growth is led by healthcare, logistics, education and professional services sectors.

Patient parking and ADA-compliant access are provided at a ratio of 7 spaces per 1,000 square feet. Market vacancy for comparable Medical Office product stands at 2.8%, down from 5.3% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 3.1% annually over the past 11 years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

Access to the site is provided by 40 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

The site contains approximately 3.3 acres and is generally level with frontage along Heritage Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer.

Demographics and Employment

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Supply and Demand

Rent growth in the submarket has averaged 7.0% annually over the past 8 years. Median household income within a 8-mile radius of the property is approximately $22,000 and has grown 10.7% annually. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 5.47% and 5.47%.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Market vacancy for comparable Medical Office product stands at 4.6%, down from 6.8% two years ago. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 7.4% annually over the past 7 years.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 9.9 acres and is generally level with frontage along Heritage Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Demographics and Employment

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Market vacancy for comparable Medical Office product stands at 6.8%, down from 5.7% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.2% annually over the past 4 years. The Charlotte Medical Office market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 7.36% and 7.36%. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Market vacancy for comparable Medical Office product stands at 3.0%, down from 7.9% two years ago. Redwood Health Center is located in Charlotte, NC, a market that has recorded 3.2% population growth over the last five years. Median household income within a 4-mile radius of the property is approximately $8,000 and has grown 4.6% annually.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 40 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 16 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 30.30 acres and is generally level with frontage along Heritage Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Market Overview

Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 6.33% and 6.33%. Rent growth in the submarket has averaged 5.3% annually over the past 9 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Redwood Health Center is located in Charlotte, NC, a market that has recorded 5.9% population growth over the last five years.

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Building Systems

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 42-year membrane system with an estimated remaining useful life of 4 years.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 12 years and are in average to good condition.

Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Redwood Health Center was originally constructed in 1991 and consists of 109,000 SF in a building of 12 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Building Systems

Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The roof is a 26-year membrane system with an estimated remaining useful life of 5 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Redwood Health Center was originally constructed in 1991 and consists of 109,000 SF in a building of 7 stories. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Patient parking and ADA-compliant access are provided at a ratio of 35 spaces per 1,000 square feet.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Brookside Medical Plaza	Minneapolis, MN	10/18/2024	5	$31,503,050	$289	7.48%	2005
Mesa Medical Plaza	Boston, MA	08/28/2024	2	$28,882,515	$265	8.20%	1982
Mesa Medical Pavilion	Des Moines, IA	12/26/2023	3	$40,083,412	$368	6.46%	1991
Juniper Medical Pavilion	Atlanta, GA	06/27/2026	2	$25,066,741	$230	6.19%	2008
Laurel Health Center	Albuquerque, NM	08/14/2024	4	$22,493,725	$206	7.34%	2002
Oakmont Health Center	Richmond, VA	02/09/2023	4	$31,247,140	$287	7.56%	1971
Sterling Health Center	Louisville, KY	08/08/2026	5	$38,478,749	$353	8.13%	2020
Meridian Medical Plaza	Grand Rapids, MI	12/04/2024	4	$26,103,857	$239	5.54%	2014
Dunmore Medical Plaza	Pittsburgh, PA	10/14/2022	5	$33,421,186	$307	8.01%	1999
Mesa Medical Plaza	Tampa, FL	07/17/2023	4	$22,954,882	$211	7.96%	2023
Yarrow Medical Pavilion	Milwaukee, WI	12/06/2025	6	$15,335,644	$141	5.52%	2011
Sable Medical Pavilion	Dallas, TX	12/27/2024	5	$33,627,561	$309	5.91%	2018
Thornton Medical Plaza	Boise, ID	03/08/2024	3	$26,331,033	$242	8.03%	1969
Bayview Medical Plaza	Phoenix, AZ	09/10/2023	6	$20,638,042	$189	7.26%	1991
Copper Health Center	Boston, MA	01/29/2023	2	$32,481,211	$298	7.75%	2004
Copper Health Center	Columbus, OH	07/05/2024	6	$29,302,135	$269	6.27%	2019
Magnolia Health Center	Jacksonville, FL	07/27/2024	6	$39,472,092	$362	5.76%	1978
Indigo Health Center	Oklahoma City, OK	09/22/2022	4	$36,915,487	$339	7.94%	1968
Oakmont Health Center	San Antonio, TX	08/30/2022	3	$16,813,696	$154	5.09%	1994
Zephyr Health Center	Albuquerque, NM	04/24/2026	3	$30,573,348	$280	6.67%	1973
Dover Medical Pavilion	Minneapolis, MN	10/18/2025	6	$26,508,502	$243	8.18%	1988
Mesa Medical Plaza	Madison, WI	03/15/2022	6	$37,049,811	$340	8.09%	1978
Elmhurst Health Center	Memphis, TN	01/28/2025	5	$15,739,043	$144	6.95%	1973
Vista Health Center	Des Moines, IA	09/28/2022	4	$15,240,563	$140	7.33%	1974
Northgate Health Center	Omaha, NE	07/10/2026	3	$15,259,323	$140	7.60%	2005
Indigo Medical Pavilion	San Antonio, TX	05/24/2022	5	$18,701,047	$172	6.75%	1984
Union Health Center	Hartford, CT	12/29/2025	3	$19,959,470	$183	5.64%	1970
Union Medical Plaza	Minneapolis, MN	03/16/2024	6	$23,065,978	$212	6.10%	1970
Harbor Medical Plaza	Boise, ID	01/11/2025	6	$30,852,481	$283	5.89%	1978
Northgate Medical Plaza	St. Louis, MO	06/05/2023	2	$39,456,373	$362	5.28%	1967
Heritage Medical Pavilion	New Orleans, LA	05/26/2026	2	$28,925,730	$265	6.87%	2014
Fairmont Medical Pavilion	Buffalo, NY	11/03/2023	5	$13,503,603	$124	7.90%	1986
Mesa Health Center	Raleigh, NC	07/01/2025	5	$41,392,015	$380	7.31%	2006
Wexford Medical Plaza	Richmond, VA	08/25/2024	5	$24,019,263	$220	6.13%	2003
Birchwood Medical Pavilion	Atlanta, GA	01/06/2026	2	$28,431,484	$261	6.49%	1971
Hawthorne Medical Plaza	Tampa, FL	07/14/2025	4	$25,390,607	$233	5.49%	2017
Riverbend Medical Pavilion	Riverside, CA	02/06/2023	5	$16,143,160	$148	6.55%	2006
Glenview Health Center	Philadelphia, PA	07/12/2025	2	$18,053,053	$166	7.47%	2019
Driftwood Health Center	Cleveland, OH	02/10/2023	5	$18,936,087	$174	6.27%	1982
Summit Health Center	Detroit, MI	07/24/2026	5	$14,670,275	$135	7.75%	2005
Vista Medical Pavilion	Memphis, TN	05/26/2025	4	$21,606,759	$198	5.28%	1976

Report generated 05/10/2021. Figures are unaudited and subject to change.

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Income and Expense Review

Effective gross income for the trailing period was $25,000, representing a 10.6% increase over the prior year. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Operating expenses totaled $469,000 or approximately 16.37 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $121,000, representing a 5.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Valuation Discussion

Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 36 spaces per 1,000 square feet. Effective gross income for the trailing period was $286,000, representing a 6.9% increase over the prior year.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Operating expenses totaled $277,000 or approximately 10.90 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 44 spaces per 1,000 square feet. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

Valuation Discussion

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $439,000, representing a 8.1% increase over the prior year. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Debt service coverage ratio was 7.40x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $104,000, representing a 2.2% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Redwood Health Center and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on April 11, 2021.

Natalie Hughes, MAI

Pinnacle Realty Appraisers

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